growing inequality. The share of Russian labour within GDP shrank compared to Soviet times, and living standards deteriorated sharply. Sociologists observe the new poverty phenomenon, which means such types of dispossession can't be remedied under the current social conditions. Impoverishment of the population sets powerful limitations on the domestic market, which further decreases profits and undermines incentives for investment.

Moreover, the distribution of insider rent extraction between industries is reflected in the price structure of the national economy. The export-oriented sector, composed mainly of energy producers and metallurgy, enjoys higher rates of price indices than manufacturing oriented to the domestic market. This price disparity in favour of exporters of products with a low degree of processing, and to the detriment of manufacturing, reflects the semi-peripheral position of the Russian economy in the world system. Price disparity, in turn, determines the redistribution of financial flows among industries in favour of exporters.

Inflating the costs of manufacturing production, exporters appropriate part of their financial flows, withdrawing further these funds from Russia and saving them in the West. The monetary policy of Russian government is fully oriented to supporting exporters. Since Russia has great net exports (export revenues minus import revenues), it enjoys an active trade surplus. The inflow of foreign currency into Russia leads to an appreciation of the national currency, which undermines the competitiveness of Russian exports. In order to avoid this, money is printed to buy excessive dollars so as to save them in the West. The current undervaluation of Russia's currency is beneficial to exporters and detrimental to importers, which puts manufacturing and the population at a disadvantage. Thus, insider rent extraction reflects and strengthens the semi-peripheral position of Russia in the world economy, preventing it from modernising, despite all the lip service paid to innovations by the government.

Putin's authoritarianism and his challenge to the West

The authoritarian nature of Russian capitalism has some of its roots in the radical market reforms of the 1990s. Since the peripheral nature of Russian capitalism means systematic transfer of a significant part of the country's labour value fund to the core, one needs strong extra-economic means to coerce people into submission. It is not surprising that the Supreme Soviet – the first democratically elected Russian Parliament, opposing privatisation – was shot at by tanks in October 1993 and an authoritarian constitution was imposed on the demoralised society. The need to coerce people, determined by the nature of semi-peripheral capitalism, is the eventual reason both for the authoritarian model of corporate